Sihanoukville in Cambodia.

The issue of stapled visas is another recent irritant in the Sino-Indian relation. Chinese and Indian Naval warships had been paying goodwill visits to each other's ports since 2004. The armies of both countries also had conducted joint military exercises in 2008 in China and in India in 2009. These naval exchanges were suspended on July 2010 after issuance of stapled visa¶ to Lt. Gen BS Jaswal who was commanding Indian troops in Jammu and Kashmir. However, before the BRICS summit in China, Beijing issued normal visas to four Kashmiri. Yet during the meeting between Manmohan Singh and Hu Jintao during the BRICS Summit in Sanya in April 2011 they could not resolve the issue of stapled visa. Earlier China began issuing visa on a separate piece of paper to the citizens of the Indian state of Jammu and Kashmir, which challenges the territorial integrity of India.

The Sino-Indian relations in the present international scenario has to be perceived by taking into consideration the presence of USA. India's nuclear deal with USA can be seen as a strategy to balance off China. Therefore, a balance of power situation in South Asia has emerged where US economic and strategic partnership with India can help India to gain a stronger foothold in South Asia.

India was quick in extending official recognition to the emergence of Peoples Republic of China in 1949. Diplomatic relations between the two were established on 1 April 1950. In 1954, a pathbreaking agreement between China and India which recognized the five principles of *Panchsheel* of mutual existence. India also formally recognized Chinese sovereignty over Tibet. From the year 1954–56, the spirit of friendship *hindi-chini bhai bhai* flourished. There were visits by Chinese Premiere Zhou Enlai to India and also Nehru to China. However, this spirit soon witnessed a downturn with publications of Chinese maps showing large portion of Indian territory as Chinese possessions. In late 1950s, the Chinese started building Sinkiang-Tibet road followed by several Chinese incursions in Barahoti and Aksai Chin areas. In 1958, Chinese troops intruded Lohit division of NEFA/Arunachal. In 1959, Chinese suppression of Tibetan revolt and fleeing of Dalai Lama to India where he was given